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AGENDA**

EBS/07/53

May 23, 2007

To: Members of the Executive Board

From: The Secretary

Subject: **Zambia—Fifth and Sixth Reviews Under the Poverty Reduction and Growth Facility Arrangement and Request for Waiver of Nonobservance of Performance Criteria**

Attached for consideration by the Executive Directors is a paper on the fifth and sixth reviews under the Poverty Reduction and Growth Facility arrangement for Zambia and Zambia's request for a waiver of nonobservance of performance criteria, which is tentatively scheduled for discussion on **Friday, June 8, 2007**. A draft decision appears on pages 13–15. At the time of circulation of this paper to the Board, the Secretary's Department has received a communication from the authorities of Zambia indicating that they consent to the Fund's publication of this paper.

Questions may be referred to Mr. Caramazza (ext. 34675), Mr. Mikkelsen (ext. 38735), and Mr. Akatu (ext. 36922) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Friday, June 1, 2007; and to the African Development Bank, the Common Market for Eastern and Southern Africa, and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

ZAMBIA

**Fifth and Sixth Reviews Under the Poverty Reduction and Growth
Facility Arrangement and Request for Waiver
of Nonobservance of Performance Criteria**

Prepared by the African Department (in consultation with other departments)

Approved by Robert Corker and G. Russell Kincaid

May 23, 2007

Fund Relations. The Board approved a three-year PRGF arrangement on June 16, 2004, in the amount of SDR 220.1 million (45 percent of quota), of which SDR 192.6 million has been disbursed. On May 11, 2007, a request to extend the arrangement to September 30, 2007 was submitted to the Board on a lapse-of-time basis. The fourth review was completed on July 12, 2006. Zambia reached the completion point of the Highly Indebted Poor Countries Initiative in April 2005, under which it received SDR 508.3 million in total debt relief from the Fund, and in January 2006 received further debt cancellation from the Fund under the Multilateral Debt Relief Initiative in the amount of SDR 402.6 million.

PRGF Arrangement. The performance under the PRGF-supported program was broadly satisfactory despite some slippages. Staff recommends completion of the fifth and sixth reviews in view of the actions taken to correct program slippages. A disbursement of SDR 22 million will become available upon completion of these reviews.

Staff Team. Mr. Caramazza (head), Mr. Akatu, Mr. Dunn, Mr. Mikkelsen (all AFR), Mr. Goldsworthy (FAD), and Ms. Mongrut (PDR). The team was assisted by Mr. Kakoza and Mr. Arnason (resident representatives).

Mission Dates. October 18–November 1, 2006 and March 14–28, 2007.

Interlocutors. Minister of Finance and National Planning, Mr. Magande, Governor of the Bank of Zambia, Mr. Fundanga, other senior officials, and representatives of civil society, donors, and the business community.

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EXECUTIVE SUMMARY

The Zambian economy continued to grow at a robust pace. Growth picked up further in 2006, while overall inflation was at its lowest level in three decades. Inflation picked up in the first quarter of 2007, in part because of higher food and oil prices. Record high copper prices and extensive debt relief helped to strengthen Zambia's external position and allowed it to build up international reserves.

Performance under the program was broadly satisfactory despite some slippages, which the authorities have addressed. Specifically, the ceiling on net domestic financing was not met in June and December 2006, which contributed to the delay of the fifth review. Measures have been put in place to strengthen control of net domestic financing.

Discussions focused on macroeconomic policies for 2007. Fiscal policies will aim at consolidating macroeconomic stability while scaling up pro-poor spending in line with the Fifth National Development Plan launched in January. Net domestic financing will be reduced in keeping with the government's objective to lower domestic debt and crowd-in private sector investment. Monetary policy will be directed at reducing inflation to low single digits by next year.

The structural agenda will continue to focus on strengthening public expenditure management, tax reform, improving debt management, and financial sector development.

Risks to the program remain. While measures have been put in place to improve expenditure management and coordination, the authorities may still face difficulties until the new treasury functions are fully in place. Also, notwithstanding the significant absorption of liquidity in the first few months of 2007, achieving single digit inflation in 2007 will be a challenge.

I. INTRODUCTION

1. **Program slippages in late 2006 postponed the completion of the fifth review.** Net domestic financing was substantially higher than programmed in June and December 2006 and reserve money rose steeply late in the year. Furthermore, the fiscal accounts showed a large overfinancing of the budget. A mission in March 2007 resolved these issues and the authorities have prepared a Memorandum of Economic and Financial Policies (MEFP) that sets out the policies for the remainder of 2007 and beyond. To achieve the program objectives and allow time for completion of the final two reviews, the authorities requested that the PRGF arrangement be extended by three months, to September 30, 2007. The authorities expressed a strong interest in a follow-up arrangement to be discussed with staff later this year.

II. STRONG MACROECONOMIC PERFORMANCE BUT PROBLEMATIC BUDGET EXECUTION AND MONETARY MANAGEMENT

2. **Output growth was strong and inflation subdued in 2006, but budget execution was complicated by election year pressures and monetary expansion** (Table 1).

- Vigorous expansions in mining and construction and a recovery in agricultural production boosted real GDP growth to an estimated 6 percent in 2006. Aided by stable food prices, annual average inflation was halved in 2006 to 9.1 percent. However, inflation picked up in the early months of 2007 (to 12.4 percent in April 2007) due to higher food and oil prices, excessive monetary expansion in the second half of 2006, and the pass-through effect of the depreciation of the kwacha on nonfood prices.
- Fiscal consolidation continued in 2006. Measured from below the line, the fiscal deficit, excluding grants, declined from 8.2 percent of GDP to 7.1 percent of GDP (Table 2 and 3). Total revenues were as programmed while grants were somewhat greater. Spending based on 2006 budget releases was considerably lower than programmed as capital expenditures fell well short of budgeted amounts.¹ This was reflected in lower-than-planned poverty-reducing spending. Revenues were in line with projections in the first quarter of 2007.
- Net domestic financing (NDF) persistently exceeded program ceilings by wide margins. This was due to the running down of large deposits (about 1.5 percent of

¹ The above-the-line fiscal deficit (5.9 percent of GDP) was thus significantly smaller than the below-the-line financing (7.1 percent of GDP).

Figure 1. Zambia: Selected Macroeconomic Indicators

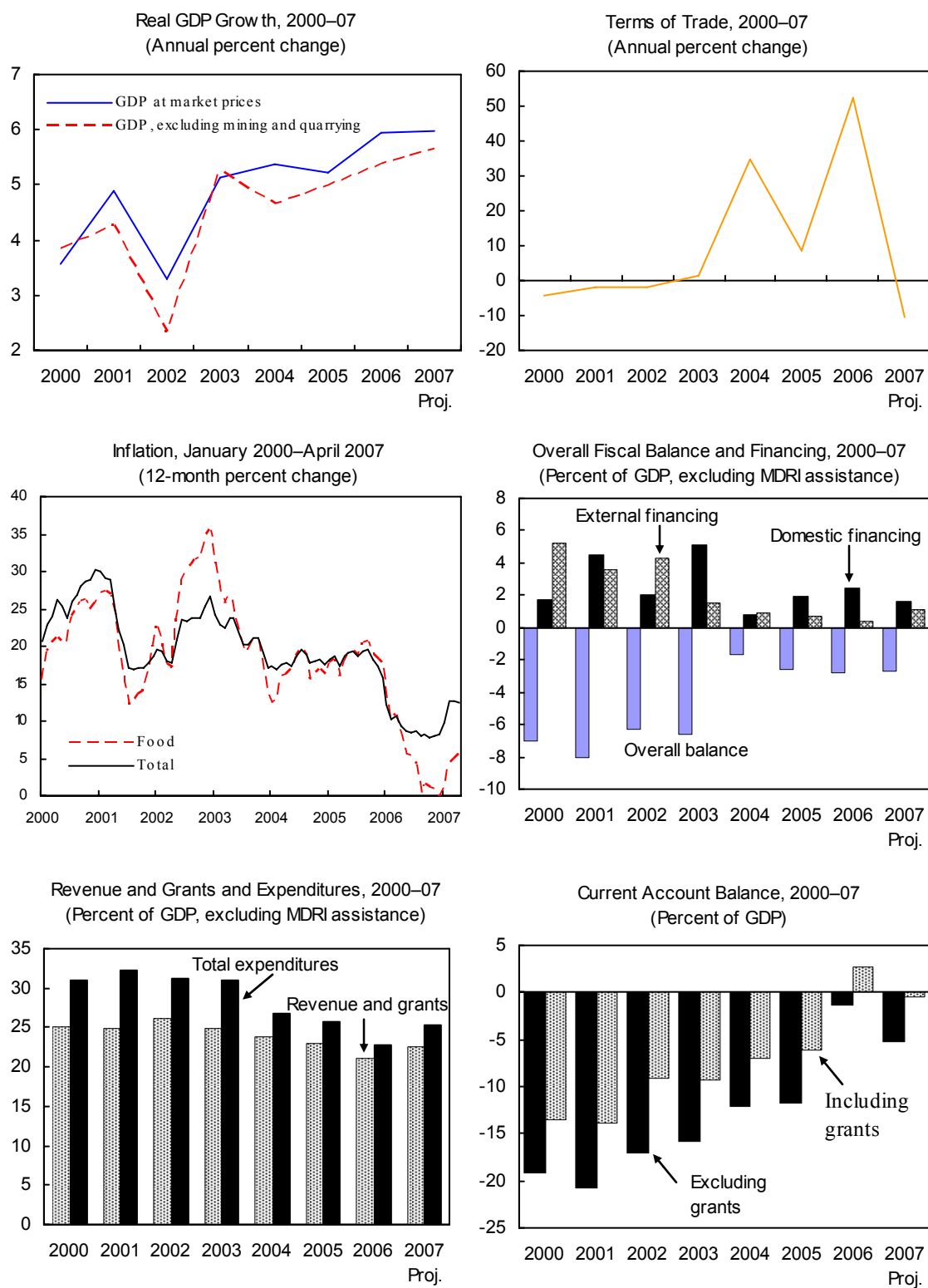
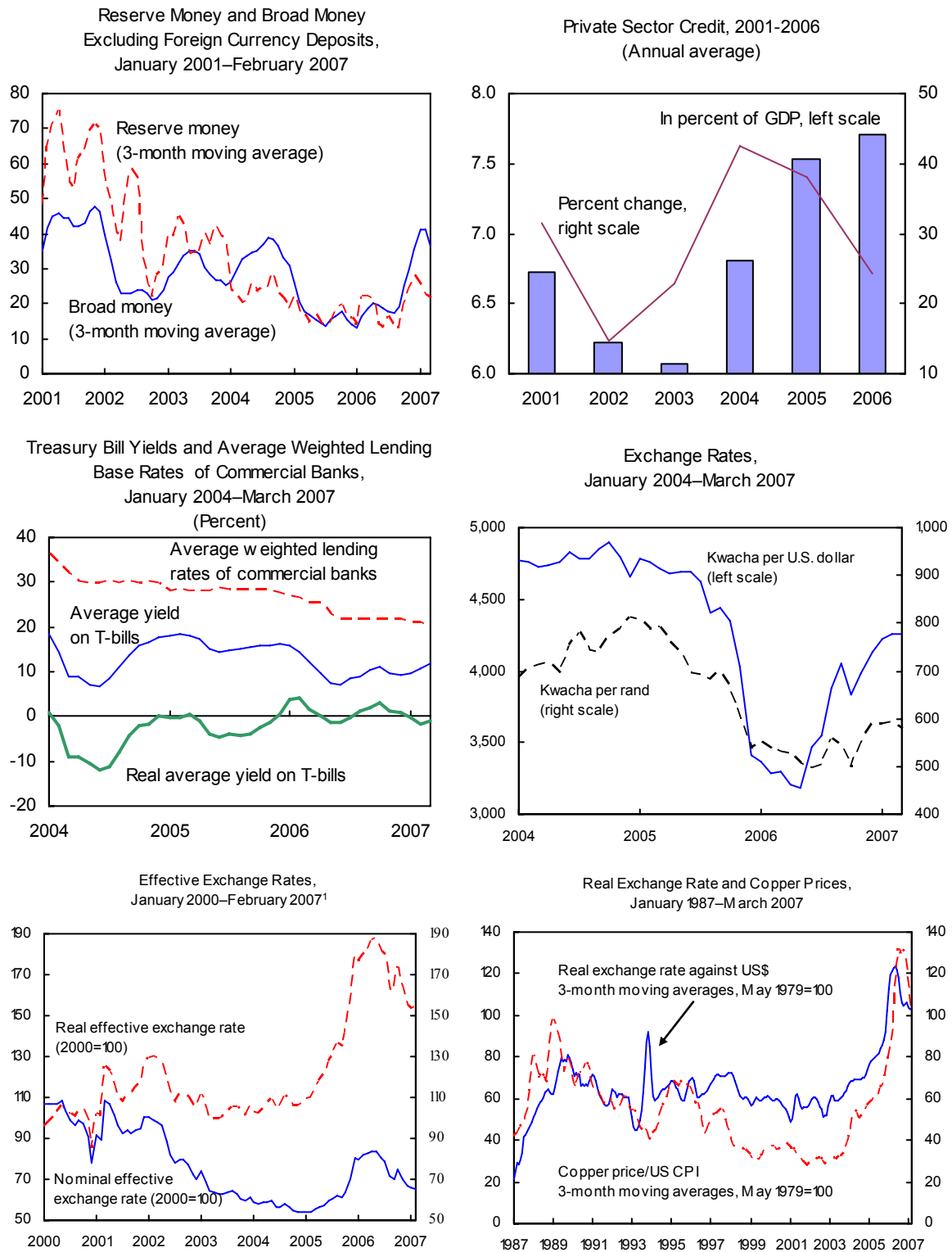


Figure 2. Zambia: Selected Financial Market Indicators



¹Excludes Zimbabwe.

GDP) containing budgetary releases made in 2005 that were not spent until 2006. To address the adverse impact on budget execution and monitoring of large carryovers of unspent budgetary releases from one fiscal year to the next, the government took a number of corrective measures. Notably, releases for capital projects after end-October 2006 were only made when payment was due. This and other measures successfully reduced the carryover of unspent budgetary releases into 2007 to 0.4 percent of GDP (1.1 percent of GDP lower than in the previous year), which explains almost entirely the 1.2 percent of GDP overfinancing of the 2006 budget. The large decline in the carryover, made it difficult to meet the NDF target at end-December 2006.

- Monetary policy was much more expansionary than envisaged particularly late in 2006 (Tables 4). Reserve money grew by about 30 percent during the year, as the Bank of Zambia (BoZ) was unable to fully sterilize the sizeable foreign exchange purchases made possible by a substantial improvement in the trade account. The range of monetary policy instruments was broadened in late 2006 with the conversion of the BoZ's claims on the government into tradable securities. In the first few months of 2007 monetary policy was brought back on track by a more active sterilization policy.

Monetary Policy Performance
(In billions of kwacha; unless otherwise indicated; valued at program exchange rates)

	2006						2007
	End-June		End-Sep.		End-Dec.		End-Mar.
	Prog.	Actual	Indicative Target	Actual	Prog.	Actual	Actual
Ceiling on increase in net domestic assets of the BoZ	-161	-274	-372	-137	-302	-453	-435
Floor on increase on gross international reserve of the BoZ (US\$ million)	56	51	145	197	155	224	56
Reserve money (indicative target)	1,915	1,889	1,952	2,361	2,092	2,390	2,239

Source: Zambian authorities

- Yields on government securities fluctuated widely during 2006 as changes in sentiment toward emerging market assets and uncertainty about the elections affected investor interest in treasury paper. In the first four months of 2007, average yields rose as liquidity conditions tightened, but real yields remained slightly negative.
- The kwacha depreciated against the U.S. dollar by 21 percent in 2006, reversing part of the appreciation from 2005. This coincided with a change in market sentiment toward commodity currencies as copper prices came off their historic highs. Since the beginning of 2007 the kwacha has fluctuated in a narrow range; the average daily rate in April was 0.7 percent more depreciated than in December 2006.
- The current account deficit, excluding grants, narrowed by over 10 percentage points of GDP to 1.4 percent of GDP, as high copper prices and an expansion in the volume

of copper exports boosted the value of exports (Table 5). Gross international reserves rose to 2.2 months of imports in 2006.

3. **Performance under the PRGF-supported program was broadly satisfactory.** All but two of the June and all but one of the December quantitative performance criteria were observed (MEFP, Table 1). Specifically, the ceiling on NDF was exceeded in June and December, and the accumulation of gross international reserves (GIR) fell short of the program floor by a small margin in June. Corrective measures have brought NDF and GIR back on track compared to the proposed quantitative targets for March 2007 agreed with the authorities during the review mission in October 2006.

4. **All but two of the structural performance criteria through March 2007 were observed (MEFP, Table 2).** Difficulties with contract negotiations delayed the piloting of the Integrated Financial Management and Information System (IFMIS) and the subsequent review (MEFP, ¶6). The contract for the installation of the IFMIS was signed in November 2006 and the first phase of the pilot began in February 2007. Progress was made in implementing the structural benchmarks. The sale of 49 percent of the shares of Zambia National Commercial Bank was completed, but little progress was made on the resolution of the nonbank financial institutions.

III. FISCAL SPACE FOR ECONOMIC AND SOCIAL INFRASTRUCTURE INVESTMENT

5. **Zambia's key medium-term objectives are to further raise growth and enhance income opportunities for the poor.** The Fifth National Development Plan (FNDP)—which serves as Zambia's Poverty Reduction Strategy Paper (PRSP)—sets out the policy framework for meeting these objectives. The FNDP focuses on creating an environment that encourages private sector growth through macroeconomic stability, public sector accountability, and investments in infrastructure and human resources.

A. Macroeconomic Framework

6. **The medium-term outlook for the Zambian economy is favorable.** Real GDP in 2007–09 is projected to grow by 6–7 percent a year supported by major ongoing investments in the mining, manufacturing and electricity sectors. Sustained prudent fiscal and monetary policies will ensure a decline in inflation to the low single digits. The balance of payments is expected to weaken due to declining copper prices, but international reserves are still expected to increase to three months of imports by 2009.

7. **Fiscal space is required to increase poverty-reducing spending and improve infrastructure.** While pressing for more substantial scaling up of donor inflows than is currently projected, the authorities intend to improve revenue collection and restrain nonpriority spending. Revenues are expected to rebound to about 18 percent of GDP in 2009, reflecting higher collections from the mining sector and improved tax administration. Capital

spending is projected to recover to about 7 percent of GDP, while the fiscal deficit, excluding grants, is targeted to decline moderately to 6.3 percent of GDP in 2009.

B. Policies for 2007

Fiscal and monetary policies in 2007 will aim to consolidate macroeconomic stability while scaling up pro-poor spending in line with the FNDP.

Fiscal policy

8. **In keeping with the government's objective of lowering domestic debt and crowding-in private sector investment, net domestic financing of government will be reduced to 1.6 percent of GDP from 2.4 percent in 2006.** The overall budget deficit will remain roughly unchanged, but excluding grants will, widen somewhat, to 7.5 percent of GDP, reflecting a pickup in external financing. Revenues are projected to increase by about 1 percentage point, to 17.7 percent of GDP, because of higher company income tax (mainly from mining), higher excise and trade taxes (supported by a lower exchange rate), and enhanced tax compliance (supported by increased funding to the ZRA to increase staff and boost enforcement activities). There is a risk, however, that the yield from the additional resources to strengthen tax compliance will be smaller than envisaged. The fiscal program is consistent with the approved budget, except for capital spending, which is lower, notwithstanding the rebound, reflecting lower projected donor project loans. Nonetheless, capital spending, which was significantly curtailed in 2006, will rebound as the FNDP gets underway.

9. **The authorities will continue reforming the tax system and administration.** The aim is to build a modern tax system with a broad base, moderate and uniform tax rates, and a minimum of exemptions and preferences. As positive steps, the Government introduced in April 2007 a new tax framework for the mining sector and is committed to continue the modernization of ZRA (MEFP paragraphs 11–13). The Mines and Minerals Act will also be amended to avoid any fiscal terms in future development agreements. The authorities expressed their interest in participating in the Extractive Industries Transparency Initiative. The Government, however, intends to reintroduce tax holidays for companies operating in defined priority sectors and the multi-facility economic zones (MFEZs). The staff warned that these measures could undermine the revenue base over time, but the authorities emphasized their commitment to strictly circumscribe the granting of tax holidays.

10. **Poverty-reducing spending on infrastructure, agriculture, education and health will expand substantially.** Domestically financed, poverty-related spending is budgeted to rise significantly as the FNDP begins to be implemented. To ensure effective monitoring and evaluation of the increased capital expenditure, the government has developed a set of key performance indicators and will submit periodic reports to Cabinet on the implementation of FNDP projects.

Public expenditure management

11. **Public expenditure management and financial accountability (PEMFA) will be strengthened.** To enhance treasury and cash management and start moving towards establishing a treasury single account, the Ministry of Finance will create a Treasury Department and consolidate government accounts in commercial banks into a small number of accounts at the Bank of Zambia (MEFP, ¶15). Further, during the implementation phase of the IFMIS pilot, the authorities will enhance the existing financial management system. In particular, improvements to the commitment control system and cash flow management are critical for stemming the creation of new domestic arrears (MEFP, ¶17). Also, it is essential to advance the budget cycle so that the budget is approved before the start of the fiscal year.

Monetary and exchange rate policy

12. **The authorities will adopt a firm monetary stance in 2007 in support of the aim of reducing inflation to 5 percent over the medium term.** Reserve money growth is targeted at 6 percent in 2007. Taking into account the excess liquidity outstanding at end-2006, this would allow for a robust expansion in credit to the private sector. In view of inflation developments in the early months of the year, inflation is likely to subside slowly, but with the tightening of monetary policy that has already taken place and food prices remaining stable, it should be possible to achieve an end-year inflation rate of around 9 percent.

13. **Exchange-rate policy will continue to be based on a market-determined floating exchange rate.** The BoZ will continue to confine its foreign exchange operations to maintaining orderly market conditions and avoiding excessive exchange rate fluctuations, and rely on sterilized purchases to meet its international reserves target.

Financial sector development

14. **The authorities will renew their efforts to implement the Financial Sector Development Plan.** Several measures are planned aimed at enhancing the stability of the financial system and expanding access to financial services. Progress on a resolution of the state-owned nonbank financial services has lagged partly because of lack of resources (MEFP, ¶21).

Other structural policies

15. **A more conducive environment for doing business in Zambia is essential to sustain high economic growth.** Implementation of the private sector development initiative has focused on the creation of the Zambian Development Agency. While supporting the creation of a one-stop facility for investors, staff cautioned against the introduction of cost-ineffective tax incentives. In this regard, it noted that Zambia's tax incentives are already regionally competitive. Strengthened corporate governance of state-owned enterprises,

notably those in telecommunications, electricity, and transportation, should improve the delivery of infrastructure services. While further liberalization of the telecom sector is needed to strengthen delivery of cost effective communication services, the authorities have been reluctant to change ZAMTEL's dominant position.

External debt

16. **The authorities are committed to strengthening debt management.** As a result of recently granted debt relief, Zambia's external public sector debt burden is benign.² In their effort to keep public debt at a sustainable level, the authorities have begun preparing a comprehensive debt management strategy (MEFP, ¶26).

17. **The authorities stepped up their efforts to reach understandings with official bilateral creditors on HIPC debt relief.** The authorities reported that a protocol was signed with China, an agreement with Russia is forthcoming, and Brazil and Bulgaria were recently contacted. Of the three commercial creditors that resorted to litigation on payment arrears, two have already been settled and the remaining one, Donegal International, was recently awarded US\$15.4 million. The award potentially reduces resources available for poverty-reducing spending. The staff is of the view that the authorities are making a good-faith effort to settle external arrears to private creditors stemming from the past imposition of exchange controls.

C. Program Monitoring

18. **Quantitative performance criteria and structural performance criteria and benchmarks have been set through June 2007** (MEFP, Tables 1 and 2).

IV. STAFF APPRAISAL

19. **The authorities have done a creditable job of pursuing sound macroeconomic policies that have sustained robust growth and brought inflation down.** This was particularly difficult in an election year in which fiscal pressures were compounded by a large carryover of 2005 budgetary releases. But while macroeconomic stability was maintained, budget execution was problematic, and spending on PRPs was below target. Recent measures, however, have greatly reduced the carryover of unspent budget resources which should improve future budget management.

20. **The immediate challenge for the authorities is to reinforce macroeconomic and financial policies to consolidate macroeconomic stability and advance structural**

² See the debt sustainability analysis in the 2005 Article IV staff report (EBS/05/199).

reform. The launch of the FNDP and the prospect of increased donor support together offer an opportunity for renewed efforts.

21. **Reforming the tax system to make it more buoyant, simpler, and equitable will be essential to create fiscal space for poverty-reducing spending.** More tax revenue will be needed over the medium term for the spending on infrastructure, agriculture, and the social sectors. Tax incentives that would narrow the tax base should be eschewed. The new fiscal regime for the mining sector is welcome.

22. **Better management of public expenditure is essential to ensure high returns on government spending.** The authorities are encouraged to step up implementation of the comprehensive PEMFA reform program. In particular, establishing a treasury single account and implementing the IFMIS will be key to further strengthening budget management and ensuring the continuation of a low level of carryover. It will also be critical to bring forward the budget cycle and have the budget approved ahead of the start of the fiscal year.

23. **Monetary policy will need to hold firm in 2007 to keep inflation subdued.** The BoZ should strengthen liquidity management and enhance the scope for sterilized intervention in the foreign exchange market.

24. **There has been notable progress in the implementation of the financial sector reforms,** but the difficulties of the state-owned NBFIs must be addressed more resolutely.

25. **The authorities are working to strengthen debt management.** Their approach to external borrowing is appropriately cautious, relying on highly concessional loans and ensuring that any new borrowing does not undermine debt sustainability.

26. **The private sector development initiative needs to be implemented more vigorously.** Constraints on doing business such as the cost of telecommunications and transportation must be eased. Improving corporate governance and the transparency of the parastatals that provide infrastructure will be important for ensuring that projects chosen have high returns.

27. **Staff recommends that the fifth and sixth reviews of the PRGF arrangement and the financing assurances review be completed.** Staff further recommends that the request for waivers for the nonobservance of five performance criteria be approved in view of the corrective actions taken.

PROPOSED DECISION

The following draft decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board:

1. Zambia has consulted with the Fund in accordance with paragraphs 4(c)(2) and 5(d) of the three-year arrangement for Zambia under the Poverty Reduction and Growth Facility (PRGF) (EBS/04/70, Supp. 2) to review program implementation and financing assurances.

2. The letter of the Minister of Finance and National Planning of Zambia dated May 22, 2007 (the Letter), together with its attached Memorandum of Economic and Financial Policies (the Memorandum) and Technical Memorandum of Understanding (the TMU), shall be attached to the three-year PRGF Arrangement for Zambia, and the letter of the Minister of Finance and National Planning of Zambia dated June 19, 2006 and its attachments shall be read as supplemented and modified by the Letter, together with its attachments.

3. Accordingly, the PRGF Arrangement for Zambia shall be amended as follows:

(a) A new Paragraph 4(a)(7) shall be added as follows:

“(a)(7) if the Managing Director of the Trustee finds that, with respect to the tenth disbursement, the data as of June 30, 2007, indicate that the ceilings or floors specified in paragraph 4(a)(i) through 4(a)(vii), as set out in Table 1 of the Memorandum and further specified in the Sections II.A, B, C, E, F, and G of the TMU, were not observed, or;”.

(b) A new paragraph 4(b)(8) shall be added as follows:

“(8) with respect to the tenth disbursement, Zambia, by June 30, 2007 has not carried out its intentions for the Debt Strategy Working Group to submit a draft comprehensive debt management strategy to the Minister of Finance as set out in Table 2 of the Memorandum and further specified in Section III of the TMU, or;”.

4. The Fund decides that:

(a) The fifth and sixth reviews contemplated in paragraph 4(c)2 and the financing assurances review contemplated in paragraph 5(d) of the PRGF arrangement for Zambia are completed.

(b) Zambia may request the eighth and ninth disbursements under the arrangement in an amount equivalent to SDR 22.0090 million, notwithstanding the nonobservance of:

(i) the end-June 2006 quantitative performance criterion on net domestic financing of the central government specified in paragraph 4(a)(ii) of the arrangement;

(ii) the end-June 2006 quantitative performance criterion on the gross international Reserves of the Bank of Zambia specified in paragraph 4(a)(iii) of the arrangement;

(iii) the end-September 2006 structural performance criterion on the initiation of the piloting of the IFMIS specified in paragraph 4(b)4 of the arrangement;

(iv) the end-December 2006 quantitative performance criterion on net domestic financing of the central government specified in paragraph 4(a)(ii) of the arrangement; and

(v) the end-March 2007 structural performance criterion on a report on the findings of a preliminary review of the piloting of the IFMIS specified in paragraph 4(b)(7) of the arrangement,

on the condition that the information provided by Zambia on performance under these criteria is accurate.

Table 1. Zambia: Selected Economic Indicators

	2004	2005	2006 Prog.	2006 Prel.	2007 Proj.	2008 Proj.	2009 Proj.
(In percent changes; unless otherwise indicated)							
National account and prices							
GDP at constant prices	5.4	5.2	6.0	5.9	6.0	6.2	6.1
GDP deflator	20.5	18.6	14.2	14.6	9.8	3.8	2.7
GDP at market prices (in billions of kwacha)	25,997	32,456	39,299	39,388	45,821	50,510	55,036
Consumer prices (average)							
Headline	18.0	18.3	9.2	9.1	11.3	5.7	5.0
Underlying (excluding food)	19.8	18.1	...	13.5	16.7	5.6	5.0
Consumer prices (end of period)	17.5	15.9	9.0	8.2	9.0	5.0	5.0
External sector							
Terms of trade (deterioration -)	38	9.5	18.3	57.9	-13.5	-21.8	-18.2
Average exchange rate (kwacha per U.S. dollar)	4,779	4,464	3,232	3,601	4,209	4,238	4,318
(in percentage change; depreciation -)	-1.0	6.6	27.6	19.3	...	...	...
Real effective exchange rate (depreciation -) ¹	3.0	24.1	...	32.3	...	...	...
Money and credit (end of period)							
Domestic credit to the private sector	47.7	18.7	15.4	54.7	18.0	...	...
Reserve money	21.1	10.2	10.3	29.5	6.0	...	...
M3	30.3	0.4	14.6	45.1	6.0	...	...
(In percent of GDP)							
National accounts							
Gross investments	23.0	22.5	23.5	22.6	24.1	24.1	23.1
Government	8.7	7.0	4.8	3.9	6.0	6.4	7.0
Private	14.3	15.5	18.7	18.7	18.1	17.7	16.1
National savings	16.0	16.4	19.7	25.4	23.7	19.7	17.6
Gross foreign savings	7.0	6.1	3.8	-2.8	0.4	4.4	5.5
Central government budget ²							
Overall balance	-1.7	-2.6	18.6	18.5	-2.7	-2.0	-1.9
(excluding grants)	-7.2	-8.2	-6.9	-7.1	-7.5	-6.4	-6.3
Revenue	18.2	17.4	16.8	16.8	17.7	17.9	18.0
Grants	5.5	5.6	25.5	25.7	4.8	4.4	4.5
Total expenditure ³	25.4	25.6	23.7	23.9	25.2	24.3	24.3
External sector							
Current account balance							
(including official grants)	-7.0	-6.1	-3.8	2.8	-0.4	-4.4	-5.5
(excluding official grants)	-12.2	-11.8	-7.9	-1.4	-5.2	-8.8	-10.0
NPV of external public debt (including IMF)	176	80	13	12	12	14	17

Sources: Zambian authorities; and Fund staff estimates and projections.

¹Excludes Zimbabwe.

²Grants in 2006 include MDRI debt cancellation amounting to 21.4 percent of GDP.

³Including discrepancy.

Table 2. Zambia: Fiscal Operations of the Central Government
(In billions of kwacha)

	2005	2006	2006	2007		2008	2009
		Prog.	Prel.	Jan-Jun Prog.	Proj.	Proj.	Proj.
Revenue and grants	7,467	16,635	16,730	5,124	10,306	11,280	12,360
Revenue	5,642	6,622	6,618	3,822	8,125	9,043	9,908
Tax	5,512	6,382	6,317	3,666	7,807	8,683	9,517
Income taxes	2,455	2,993	2,960	1,693	3,491	3,889	4,299
Value-added tax	1,633	1,812	1,792	1,046	2,339	2,627	2,904
Excise taxes	768	936	821	491	1,104	1,217	1,326
Customs duties	656	641	744	436	874	951	997
Nontax	130	240	301	156	318	359	392
Grants	1,825	10,014	10,112	1,302	2,180	2,238	2,452
Budget support	543	310	423	541	582	648	713
Project grants	1,282	1,294	1,279	761	1,598	1,590	1,739
Debt reduction (including MDRI)	0	8,410	8,410	0	0	0	0
Expenditures	8,350	9,248	8,956	5,477	11,546	12,299	13,380
Current expenditures	5,828	7,129	7,167	3,781	8,380	8,830	9,335
Wages and salaries	2,455	2,967	2,833	1,676	3,535	3,971	4,366
Goods and services	1,249	1,652	1,760	786	1,744	1,961	1,898
Interest payments	865	799	749	320	705	654	609
Other	1,259	1,711	1,826	999	2,396	2,244	2,463
Capital expenditure	2,267	1,880	1,542	1,578	2,827	3,225	3,834
Of which: domestically financed	565	766	599	878	1,350	1,816	2,257
Domestic arrears payments	254	238	247	118	339	244	211
Discrepancy (-overfinancing) ¹	30	-50	-476	-162	0	0	0
Overall balance							
Including grants	-852	7,337	7,297	-515	-1,241	-1,019	-1,021
Excluding grants	-2,677	-2,677	-2,814	-1,817	-3,421	-3,256	-3,472
Financing	852	-7,337	-7,297	515	1,241	1,019	1,021
External financing (net)	241	-6,025	-6,225	176	498	413	470
Of which: budget support	84	45	36	0	167	127	130
Of which: debt reduction (MDRI)	0	-6,392	-6,392	0	0	0	0
Domestic financing (net)	611	-1,312	-1,073	339	743	606	550
Bank financing	-102	-1,893	-1,813	46	100	100	100
Of which: BoZ onlending of IMF MDRI relief	0	-2,018	-2,018	0	0	0	0
Nonbank financing	713	581	740	293	643	506	450
Memorandum items:							
Primary balance, including grants	12	8,136	8,047	-195	-536	-364	-412
Poverty-reducing spending ²	1,995	2,638	2,356	...	4,096	...	...
External budget support	628	355	459	541	750	775	843
Stock of domestic arrears	947	685	878	760	539	295	84
Stock of domestic government securities	5,271	6,010	6,242	6,581	6,984	7,590	8,141
MDRI debt service savings	...	92	94	...	245	380	439

Sources: Zambian authorities; and Fund staff estimates and projections.

¹Discrepancy largely reflects the net change in releases to line ministries that are not fully executed by the end of the year and thus are not reflected in the domestic financing figures until the following year.

²Excluding donor financed projects

Table 3. Zambia: Fiscal Operations of the Central Government
(In percent of GDP)

	2005	2006	2006	2007		2008	2009
				Jan-Jun			
		Prog.	Prel.	Prog.	Proj.	Proj.	Proj.
Revenue and grants	23.0	42.3	42.5	11.2	22.5	22.3	22.5
Revenue	17.4	16.8	16.8	8.3	17.7	17.9	18.0
Tax	17.0	16.2	16.0	8.0	17.0	17.2	17.3
Income taxes	7.6	7.6	7.5	3.7	7.6	7.7	7.8
Value-added tax	5.0	4.6	4.5	2.3	5.1	5.2	5.3
Excise taxes	2.4	2.4	2.1	1.1	2.4	2.4	2.4
Customs duties	2.0	1.6	1.9	1.0	1.9	1.9	1.8
Nontax	0.4	0.6	0.8	0.3	0.7	0.7	0.7
Grants	5.6	25.5	25.7	2.8	4.8	4.4	4.5
Budget support	1.7	0.8	1.1	1.2	1.3	1.3	1.3
Project grants	3.9	3.3	3.2	1.7	3.5	3.1	3.2
Debt reduction (including MDRI)	0.0	21.4	21.4	0.0	0.0	0.0	0.0
Expenditures	25.7	23.6	22.7	12.0	25.2	24.3	24.3
Current expenditures	18.0	18.1	18.2	8.3	18.3	17.5	17.0
Wages and salaries	7.6	7.5	7.2	3.7	7.7	7.9	7.9
Goods and services	3.8	4.2	4.5	1.7	3.8	3.9	3.4
Interest payments	2.7	2.0	1.9	0.7	1.5	1.3	1.1
Other	3.9	4.4	4.6	2.2	5.2	4.4	4.5
Capital expenditure	7.0	4.8	3.9	3.4	6.2	6.4	7.0
Of which: domestically financed	1.7	1.9	1.5	1.9	2.9	3.6	4.1
Domestic arrears payments	0.8	0.6	0.6	0.3	0.7	0.5	0.4
Discrepancy (-overfinancing) ¹	0.1	-0.1	-1.2	-0.4	0.0	0.0	0.0
Overall balance							
Including grants	-2.6	18.6	18.5	-1.1	-2.7	-2.0	-1.9
Excluding grants	-8.2	-6.9	-7.1	-4.0	-7.5	-6.4	-6.3
Financing	2.6	-18.6	-18.5	1.1	2.7	2.0	1.9
External financing (net)	0.7	-15.3	-15.8	0.4	1.1	0.8	0.9
Of which: budget support	0.3	0.2	0.1	0.0	0.4	0.3	0.2
Of which: debt reduction (MDRI)	...	-16.3	-16.2	0.0	0.0	0.0	0.0
Domestic financing (net)	1.9	-3.3	-2.7	0.7	1.6	1.2	1.0
Bank financing	-0.3	-4.8	-4.6	0.1	0.2	0.2	0.2
Of which: Onlending of IMF MDRI relief	0.0	-5.1	-5.1	0.0	0.0	0.0	0.0
Nonbank financing	2.2	1.5	1.9	0.6	1.4	1.0	0.8
Memorandum items:							
Primary balance, including grants	0.0	20.7	20.4	-0.4	-1.2	-0.7	-0.7
Poverty-reducing spending ²	6.1	6.7	6.0	...	8.9	...	...
External budget support	1.9	1.0	1.2	1.2	1.6	1.5	1.5
Stock of domestic arrears	2.9	1.7	2.2	1.7	1.2	0.6	0.2
Stock of domestic government securities	16.2	15.3	15.8	14.4	15.2	15.0	14.8
MDRI debt service savings	...	0.2	0.2	...	0.5	0.8	0.8
Nominal GDP (in billions of kwacha)	32,456	39,299	39,388	45,821	45,821	50,510	55,036

Sources: Zambian authorities; and Fund staff estimates and projections.

¹Discrepancy largely reflects the net change in releases to line ministries that are not fully executed by the end of the year and thus are not reflected in the domestic financing figures until the following year.

²Excluding donor financed projects

Table 4. Zambia: Monetary Accounts 1/
(In billions of kwacha; unless otherwise indicated)

	2005	2006				2007	
		Jun. Prog.	Jun. Act.	Dec. Prog.	Dec. Act.	Jun. Prog.	Dec. Proj.
I. Monetary Survey							
Net foreign assets	-282	1,864	1,666	2,131	3,938	3,924	4,407
Net domestic assets	6,123	4,263	4,623	4,564	4,539	4,145	4,578
Claims on central government (net)	2,416	2,511	2,404	2,541	2,433	2,390	2,533
Claims on private sector	2,437	2,606	2,942	2,812	3,770	3,870	4,449
Claims on public enterprises	230	240	560	224	224	224	224
Other items (net) ²	1,039	1,126	-1,263	1,181	-1,852	-2,339	-2,627
Money and quasi-money (M3)	5,841	6,127	6,289	6,695	8,477	8,070	8,985
Broad money (M2)	3,860	...	4,281	...	5,763	...	...
Foreign exchange deposits	1,981	...	2,008	...	2,714	...	...
II. Bank of Zambia							
Net foreign assets	-1,235	1,351	1,283	1,631	2,792	2,778	2,968
Of which: IMF (net)	-3,057	-138	-110	-193	-182	-318	-356
Net domestic assets	3,132	564	645	461	-337	-441	-365
Claims on central government (net)	1,070	877	593	917	789	866	977
Claims on nongovernment	375	435	617	435	320	262	262
Claims on private sector	53	...	52	...	58	...	...
Claims on public enterprises	96	...	343	...	0	...	...
Claims on commercial banks	226	...	222	...	262	...	...
Other items (net) ²	4,940	-748	-565	-891	-1,445	-1,569	-1,604
Reserve money	1,896	1,915	1,928	2,092	2,455	2,337	2,603
Currency outside banks and cash in vaults	962	...	999	...	1,224	...	...
Commercial bank deposits	926	...	924	...	1,223	...	...
Memorandum items:							
	(12-month percentage change over beginning period broad money)						
Monetary survey:							
Net foreign assets	29.0	83.9	81.3	41.3	72.2	35.9	5.5
Net domestic assets	-28.6	-80.0	-74.6	-26.7	-27.1	-7.6	0.5
Claims on central government (net)	-1.7	-2.3	-5.3	2.1	0.3	-0.2	1.2
Claims on private sector	6.6	-1.9	3.9	6.4	22.8	14.7	8.0
	(In 12-month percentage change; unless otherwise indicated)						
Reserve money	10.2	6.0	1.6	10.3	29.5	21.3	6.0
M3	0.4	3.9	6.6	14.6	45.1	28.3	6.0
Credit to the private sector	18.7	-4.0	8.3	15.4	54.7	31.5	18.0
M3-to-GDP ratio (in percent)	18.0	15.6	16.0	17.0	21.5	17.6	19.6
Money multiplier (M3/reserve money)	3.1	3.2	3.3	3.2	3.5	3.5	3.5
Credit to the private sector (in percent of GDP)	7.5	6.6	7.5	7.2	9.6	8.4	9.7
Gross foreign exchange reserves of the							
Bank of Zambia (in millions of U.S. dollars)	331	399	393	495	595	678	729
Exchange rate (kwacha per U.S. dollar)	3,509	3,509	3,569	3,509	4,407	4,407	4,407

Sources: Zambian authorities; and Fund staff estimates and projections.

¹End of period.

²Include valuation and HIPC Initiative Account (balances were K3,253 billion and K2,209 billion at end-2005 and end-2006, respectively).

Table 5. Zambia: Balance of Payments
(In millions of U.S. dollars; unless otherwise indicated)

	2005	2006 Prog.	2006 Prel.	2007 Proj.	2008 Proj.	2009 Proj.
Current account	-861	-872	-62	-444	-942	-1,160
Trade balance	10	635	1,183	730	-43	-484
Exports, f.o.b.	2,221	3,374	3,819	3,793	3,268	2,908
Of which: copper	1,486	2,554	2,938	2,894	2,414	2,053
Imports, f.o.b.	-2,211	-2,739	-2,636	-3,063	-3,311	-3,391
Of which: oil	-279	-413	-454	-431	-487	-514
Services (net)	-237	-442	-253	-262	-288	-298
Income (net)	-609	-1,067	-1,002	-940	-616	-378
Of which: interest on public debt	-110	-24	-17	-15	-12	-11
Current transfers (net)	-24	2	10	27	5	-1
Sector wide approach grants	0	87	90	117	106	112
Private transfers	-24	-85	-80	-90	-101	-113
Capital and financial account	723	1,469	907	359	909	1,065
Capital account	2,080	2,714	2,654	264	269	291
Project grants	287	311	250	264	269	291
External debt cancellation	1,793	2,403	2,403	0	0	0
Financial account	-1,357	-1,245	-1,746	95	640	774
Foreign direct and portfolio investments	380	438	350	447	411	417
Other investments	-1,737	-1,683	-2,096	-351	229	357
Medium and long-term	-1,737	-1,683	-1,946	-101	229	357
Public sector (net)	-1,882	-1,722	-1,788	79	67	79
Disbursements	136	152	83	111	94	104
Amortization due	-2,018	-1,874	-1,870	-32	-27	-25
Commercial banks (net)	91	13	56	0	0	0
Other sectors	54	26	-214	-180	161	278
Short-term	0	0	-150	-250	0	0
Errors and omissions	-147	0	-150	0	0	0
Overall balance	-284	597	696	-85	-33	-95
Financing						
Central bank net reserves (- increase)	-351	-706	-821	-93	-150	-100
Of which: gross reserve change	-109	-164	-264	-134	-150	-100
Of which: Use of Fund loans	-236	-542	-557	41	0	0
Exceptional financing	480	0	0	0	0	0
Program support	155	109	125	178	183	195
Grants	131	95	116	138	153	165
Loans	24	14	9	40	30	30
Financing gap	0	0	0	0	0	0
Memorandum items:						
Current account including total grants (in percent of GDP)	-6.1	-3.8	2.8	-0.4	-4.4	-5.5
Current account excluding grants (in percent of GDP)	-11.8	-7.9	-1.4	-5.2	-8.8	-10.0
Copper export volume (thousands of metric tons)	439	486	476	526	585	640
Copper export price (U.S. dollars per pound)	1.5	2.4	2.8	2.5	1.9	1.5
Net creditor/donor support (in percent of GDP) ¹	6.7	4.8	4.6	6.1	5.1	5.2
Of which: official grants	5.7	4.1	1.9	2.3	2.2	2.2
Gross international reserves (in millions of U.S. dollars)	331	495	595	729	879	979
In months of imports	1.5	1.7	2.2	2.4	2.7	2.9
GDP (in million of U.S. dollars)	7,271	12,160	10,939	10,887	11,919	12,747

Sources: Zambian authorities; and Fund staff estimates and projections.

¹Defined as disbursements, plus grants, less debt service.

Table 6. Zambia: Schedule of Disbursements Under the PRGF Arrangement, 2004-07

Amount		Availability Date ¹	Conditions Necessary for Disbursement
(In millions of SDRs)	(In percent of quota)		
82.536	16.88	16-Jun-04	Board approved the three-year arrangement and endorsed the annual program.
82.536	16.88	17-Dec-04	Board completed the first review based on observance of performance criteria for September 30, 2004.
5.502	1.13	15-Apr-05	Board completed the second review based on observance of performance criteria for December 31, 2004.
5.5024	1.13	9-Nov-05	Observance of performance criteria for March 31, 2005.
5.5024	1.13	25-Jan-06	Board completed the third review based on observance of performance criteria for June 30, 2005.
5.5024	1.13	25-Jan-06	Observance of performance criteria for September 30, 2005.
5.5024	1.13	1-Aug-06	Board completed the fourth review based on observance of performance criteria for December 31, 2005.
11.0045	2.25	8-Jun-07	Observance of the performance criteria for June 30, 2006 and completion of the fifth review.
11.0045	2.25	8-Jun-07	Observance of performance criteria for December 31, 2006. and completion of the sixth review
5.5024	1.13	31-Aug-07	Observance of performance criteria for June 30, 2007.

¹For past disbursements, date refers to actual date of disbursement.

APPENDIX I
LETTER OF INTENT

May 22, 2007

Mr. Rodrigo de Rato
Managing Director
International Monetary Fund
Washington, D.C.

Dear Mr. de Rato,

The Government of the Republic of Zambia has been implementing a financial and economic program with support from the International Monetary Fund under the Poverty Reduction and Growth Facility (PRGF) since June 2004. The fourth review of the program was completed on July 12, 2006. The attached Memorandum of Economic and Financial Policies (MEFP) and Technical Memorandum of Understanding (TMU) reviews progress in implementing the program since the fourth review and sets out the policies that the Government will pursue in 2007 and beyond.

The Government's development strategy and policies will continue to focus on achieving high rates of sustainable economic growth, founded on a stable macroeconomic environment, and reducing poverty through wealth and job creation. In this regard, the Government will continue to implement prudent fiscal and monetary policies and structural reforms to support private sector development, strengthen further expenditure management, financial accountability, debt management, and improve governance and transparency. The resources made available by the Multilateral Debt Relief Initiative (MDRI) will be used to increase spending on priority areas in agriculture, infrastructure, water and sanitation, health, and education, in line with Zambia's Fifth National Development Plan 2006–10.

The Government requests the completion of the fifth and sixth reviews and the eight and ninth disbursements of the PRGF arrangement (each in the amount of SDR 11.0045 million). On the basis of the corrective actions it has taken, the Government requests waivers for the non-observance of the June and December 2006 performance criteria on net domestic financing (NDF) and the June 2006 performance criterion on gross international reserves. The higher NDF is explained by a larger-than-programmed reduction in the carryover of unspent budget resources.

Cognizant of the undermining effects of the large carry-over of unspent balances from one fiscal year to the next on budget execution and monitoring, Government took firm steps to address the problem. In November 2006, the Government introduced a number of measures

to enhance Treasury and cash management. While these measures effectively eliminated the carryover of unspent balances at the end of 2006, the reduction in spending budgeted in 2006 that would have been required to meet the NDF ceiling was not possible within the last couple of months of the year.

Looking ahead, the strengthened Treasury and cash management measures will ensure a small carryover of unspent budget resources to the next fiscal year, which, in turn, will markedly improve our control of NDF. Furthermore, the liquidity effects of the NDF overrun in 2006 were mopped up by the Bank of Zambia in the first few months of the year. The small shortfall in the accumulation of official international reserves as of end-June was more than made up in subsequent months and gross international reserves substantially exceeded the program floor at end-December 2006.

The Government also requests waivers for the non-observance of the end-September 2006 and end-March 2007 structural performance criteria on implementation and reporting of the IFMIS pilots. Progress, albeit somewhat delayed, has been made on the IFMIS project. The contract for the installation of the IFMIS was signed in November 2006 and implementation of the pilot program began in January. To ensure a successful piloting and realize sooner the benefits of the project, the number of pilot sites has been increased from three to eight and the required functional training will be advanced. The preliminary review of the piloting of the IFMIS will be undertaken at the end of the pilot implementation phase, which will last about 18 months.

The Government of Zambia believes that the policies set forth in the attached MEFP are adequate to achieve the objectives of its program, and will take any further measures that may become appropriate for this purpose. The Government will consult with the IMF on the adoption of these measures, and in advance of revisions to policies contained in the MEFP, in accordance with the Fund's policies on such consultation.

The Government of Zambia authorizes the IMF to make the staff report for the fifth and sixth review under the PRGF arrangement and this letter and attached memoranda available to the public, including placement of these documents on the IMF website, subject to the removal of market-sensitive information, following the IMF Executive Board's conclusion of the review.

Yours sincerely,

/s/

Ng'andu P. Magande, MP
Minister of Finance and National Planning

ATTACHMENT 1

Memorandum of Economic and Financial Policies

1. The current economic and financial program of the Government of the Republic of Zambia has been supported by the IMF through a three-year Poverty Reduction and Growth Facility (PRGF) arrangement. This memorandum reviews the performance of the program in 2006 and outlines the policies and targets that the Government will pursue in 2007 and the medium term.

I. PERFORMANCE IN 2006

2. **The Zambian economy continued to grow at a robust pace.** Sound macroeconomic policies and a favorable external environment have been major factors behind the improved performance in recent years. Annual real GDP growth is estimated to have increased to nearly 6 percent in 2006, led by solid expansions in mining and construction and a recovery in agricultural production. The annual average rate of inflation declined from 18.3 percent in 2005 to 9.1 percent in 2006—its lowest point in more than three decades—aided by stable food prices. The current account of the balance of payments recorded a marked improvement to an estimated overall surplus of 2.8 percent of GDP in 2006 from a deficit of about 6 percent of GDP in 2005. This was largely due to a steep rise in the value of copper exports as prices rose to record highs. Gross international reserves increased to 2.2 months of imports at end-2006 from 1.5 months a year earlier.

3. **Progress was made in implementing the PRGF-supported program in 2006.** As regards the quantitative elements of the program, all but two of the June and all but one of the December performance criteria and benchmarks were observed (Table 1). Specifically, the ceiling on net domestic financing (NDF) was exceeded by a large margin in June and December. The accumulation of gross international reserves fell short of the program floor by a small margin in June, but reserves significantly exceeded the program floor in December.

4. **Despite a strong effort to restrain spending, NDF persistently exceeded programmed ceilings by wide margins in 2006.** This was mainly due to the running down of large X-account deposits (which stood at K596 billion on January 1, 2006) for expenditures under the 2005 budget that were carried over to 2006. Cognizant that excessively large carryovers undermine budget execution and monitoring, the Government introduced a number of measures to enhance Treasury and cash management. These were described in circulars issued to all Controlling Officers. These circulars stipulated that releases for new capital projects would stop at end-October, except for capital projects where tender procedures had been completed. For ongoing capital projects, releases would only be made against certificates indicating that payments are due. In addition, efforts were made to front-load current expenditures in December. These and other administrative measures

effectively reduced the carryover at the end of the 2006 budget year, but the reduction in spending required to meet the NDF target was not possible within the last few months of the year. To further support the Government's efforts to strengthen budget execution and treasury management going forward, donors have agreed to disburse their budget support by the end of September. The carryover of unspent releases to the 2006 budget year amounted to 1.5 percent of GDP while the carryover to the 2007 budget year only amounted to 0.4 percent of GDP.¹ Notwithstanding the greater-than-programmed net domestic financing of Government, the fiscal deficit excluding grants declined by 1.1 percentage points to 7.1 percent of GDP in 2006. The lower deficit was largely related to a decline in donor-financed spending and interest payments.

5. **The programmed target for net domestic assets (NDA) of the Bank of Zambia (BoZ) was met in June and December 2006, but reserve money expanded at a much faster pace than projected, particularly late in the year.** The BoZ stepped up purchases of foreign exchange in the second half of 2006. As a result, the international reserve target at end-December 2006 was exceeded by about US\$70 million, reversing the shortfall experienced at end-June. However, the liquidity generated by the build-up of international reserves and the spending of larger-than-projected resources from external budget support was only partially sterilized, resulting in a surge in reserve money to well above program projections. In part, this reflected the BoZ's limited scope to undertake sterilization operations. This deficiency began to be addressed in November with the agreement to convert a significant portion of BoZ's claims on the Government into marketable securities and to increase the tender sizes of government securities. In the first few months of 2007 the BoZ successfully mopped up the liquidity-overhang.

6. **On the structural program, all but two of the performance criteria through March 2007 were met (Table 2).** Difficulties with contract negotiations and in complying with procurement procedures resulted in slippages in the signing of the contract for the Integrated Financial Management and Information System (IFMIS). Consequently, the September 2006 and March 2007 performance criteria relating to the IFMIS were not observed. Implementation of the pilot program began in January 2007 and is expected to be completed over an 18-month period, at which time an evaluation of the system will be made. However, to maximize earlier realization of the benefits of the project, the number of pilot sites has been expanded from three to eight and functional training was advanced from Phase II to Phase I of the project. Most of the structural benchmarks were either met or met with some delay; however, little progress has been made on the resolution of the nonbank financial institutions because of a lack of budgetary resources. Agreement on the sale of 49 percent of the shares of Zambia National Commercial Bank was reached in December.

¹ The reported carryover of unspent budget releases includes checks that were issued through end-December but were not cleared by the Bank of Zambia until early January.

II. POLICY FOR 2007 AND THE MEDIUM TERM

7. **The Government's key economic objectives are to further raise growth and enhance the employment and income opportunities for the poor.** The recently launched Fifth National Development Plan 2006–2010 (FNDP)—which serves as Zambia's Poverty Reduction Strategy Paper—sets out the policy framework for meeting these objectives. The FNDP emphasizes the need to create an environment that encourages private sector growth through macroeconomic stability, public sector accountability, and investments in infrastructure and human resources.
8. **The medium-term outlook for the Zambian economy is favorable.** Real GDP is projected to grow by 6-7 percent a year through 2010. Major investments in the mining, manufacturing, and electricity sectors are ongoing, while small and medium-sized enterprises are expected to gradually increase their contribution to growth and employment. Strong demand for housing is expected to bolster the construction sector. Furthermore, government policies to support agriculture and tourism, including infrastructure investments, should increase growth in these sectors. With sustained prudent fiscal and monetary policies, inflation is expected to be in the low single digits. The economy nevertheless remains vulnerable to shocks in the terms of trade and variations in rainfall patterns.
9. **Fiscal space needs to be created in the medium term to increase poverty reducing spending, develop infrastructure, and support other FNDP programs.** The Government intends to improve revenue collection and restrain non-priority spending. Revenues are expected to rebound to around 18 percent of GDP, reflecting higher collections from the mining sector and improved tax administration. Planned reforms to broaden the tax base will further increase revenues. Capital spending is projected to recover to about 7 percent of GDP in 2009. Net domestic financing of Government is projected to decline gradually over the medium term to 1 percent of GDP in 2009. This will help to lower interest rates and crowd-in private sector investment. The fiscal deficit excluding grants is projected to decline moderately to 6.3 percent of GDP in 2009. However, greater in-flows of external assistance than are currently projected are required to fully finance the FNDP.

A. Fiscal policies

10. **In 2007, net domestic financing of Government will be reduced to 1.6 percent of GDP from 2.4 percent of GDP in 2006, in part reflecting a pick-up in external financing.** Revenues are projected to increase by about 1 percentage point to 17.7 percent of GDP, owing to higher company income tax (mainly from the mining sector) and higher trade taxes supported by a lower and more stable exchange rate. Revenue is expected to be boosted also by the additional resources being provided to the Zambia Revenue Authority (ZRA) to recruit additional staff and enhance enforcement activities. Expenditures are assumed to rise to 25.2 percent of GDP, almost entirely on account of a rebound in capital spending to

6 percent of GDP. This increase, which is partly financed by additional donor inflows, covers implementation of FNDP projects, particularly in agriculture, education, infrastructure and health. The Government will ensure that proper monitoring and reporting procedures are in place and will submit periodic progress reports to Cabinet on the implementation of the FNDP projects. Further, spending on Poverty Reduction Programs (PRPs) will increase to about 12 percent of GDP in 2007.

11. **The ZRA has embarked on a modernization program to strengthen the effectiveness of tax administration.** The process of adopting an integrated and taxpayer-segmented organizational structure has already begun. A roadmap of reforms has been prepared and key appointments have been made, including a Commissioner for the new Domestic Tax Division (DTD) and a modernization project manager. Measures that will be implemented in the remainder of 2007 include establishing a Large Taxpayer Office, transferring domestic excise administration from customs to DTD, and expediting the roll-out and enhancement of the Integrated Tax Administration System (ITAS) software.

12. **The Government intends to provide incentives, including tax holidays, to priority sectors and for Multi-Facility Economic Zones (MFEZs).** These incentives, which are applied through the recently adopted Zambia Development Agency (ZDA) Act, are expected to have limited effects on revenue collection in 2007, as they apply only to new investments. To avoid significant long-term revenue losses, the Government will strictly circumscribe granting tax holidays and address the administrative challenge of ensuring correct reporting of profits by companies that have operations both inside and outside of the MFEZs. The Ministry of Finance and National Planning will develop a methodology to calculate tax expenditures, with a view to publishing in the future the revenue foregone from granting tax holidays and other exemptions.

13. **The Government will soon start discussions with the mining companies on re-negotiating existing development agreements with the aim of increasing revenues.** These discussions will be based on announced changes in the tax regime for the mining sector, including an increase in the income tax rate from 25 percent to 30 percent and the royalty rate from 0.6 percent to 3 percent of gross value, and withholding tax from 0 percent to 15 percent. Future development agreements will be based on the revised fiscal terms for the sector. The Government will also amend Section 9 of the Mines and Minerals Act to ensure that there shall be no fiscal terms in future development agreements.

14. **Enhancing transparency in the mining sector is important to ensure that available public resources from the sector are realized and used effectively.** To this end, the Government intends to adhere to the standards of the Extractive Industries Transparency Initiative. A working group will be established no later than end-June 2007 to move the process forward.

B. Public Expenditure Management

15. Stepped up implementation of the public expenditure management and financial accountability (PEMFA) program is critical for increasing the effectiveness and productivity of the public sector. To this end, the existing Financial Management System (FMS) will be enhanced given that the IFMIS is not expected to be fully operational in all Ministries, Provinces, and Spending Agencies (MPSAs) for another three years (the first eight pilot sites are expected to be fully functional by April 2008). As an immediate priority, the FMS will be made compatible with the 2007 budget, which is based on the 2001 Government Finance Statistics (GFS) classification. Subsequent enhancements, which will be completed by end-June 2007, include upgrading the software to a network based FMS and integrating the activity-based budgeting, funding, and cash flow forecasts and expenditure modules. The Government will proceed on moving towards establishing a Treasury Single Account (TSA) system, that could be in place by end-2008, to strengthen budget execution and cash management. In preparing for the TSA, the Ministry of Finance and National Planning will gradually consolidate government accounts in commercial banks into a limited number of accounts at the BoZ and create a Treasury Department by end-June 2007.

16. **Budget execution reports will continue to be published quarterly.** Beginning with the first quarter of 2007, the set of reports will include an analysis of budget provision, releases, and expenditures by functional classification, using the streamlined format agreed with the PEMFA JTWG. The usefulness of current reports has been hampered by the failure of various MPSAs to submit accurate monthly expenditure returns in a timely manner. Measures to enforce compliance will be stepped up, including withholding funding to those MPSAs that fail to submit the relevant returns in line with Section 17 of the Public Finance Act. Another issue that will be addressed, in conjunction with cooperating partners, is the need for donor project funding to be channeled through the financial management system. At present, donor project funding is included in the budget provision to MPSAs but excluded from releases and reported expenditure by the MPSAs, which makes it difficult to reconcile data on releases and expenditures with that on provisions.

17. **The Commitment Control System (CCS) and cash flow management will be strengthened in order to prevent the continued buildup of domestic arrears.** Notwithstanding significant payments of arrears in 2006, the stock of arrears was only slightly lower at end-2006 compared to the year before. The new arrears incurred reflected difficulties in cash flow management and shortfalls in releases relative to the agreed quarterly profile. To improve the monitoring of the CCS, the Accountant General will prepare, within 60 days of the end of each quarter, reports for the Secretary to the Treasury on compliance with the CCS by MPSAs. Particular attention will be given to preventing the accumulation of arrears on capital projects, especially roads, which currently accounts for two-thirds of the total stock of arrears. Efforts to ensure that MPSAs stay current on utilities will also be boosted, so as to put an end to the practice of MPSAs incurring arrears with ZESCO and

ZAMTEL and these parastatals in turn incurring tax arrears. In this regard, Government has allocated K36.3 billion to MPSAs for the payment of outstanding bills on utilities.

C. Monetary and Exchange Rate Policies

18. **The BoZ will continue with a firm monetary policy stance aimed at reducing the annual rate of inflation to 5 percent in the medium term.** While food prices and uncertainties about the pass-through effects of higher oil prices and the past depreciation of the Kwacha pose risks to the inflation outlook, tight monetary policy will contribute to keeping inflation on a downward trend. With the stepped up efforts in the first quarter of 2007 to mop up excess liquidity, end-period reserve money is targeted to grow by about 5 percent in 2007. This implies a pickup in reserve money growth for the last three quarters of the year to meet an expected increase in the demand for liquidity associated with the maize harvest and the accelerated implementation of capital projects. It will also accommodate a robust expansion in credit to the private sector of about 18 percent and a buildup of international reserves to 2.4 months of imports by end-2007.

19. **The Government remains committed to a flexible exchange rate regime.** The BoZ will confine interventions in the foreign exchange market to smoothening fluctuations in the exchange rate while allowing a gradual build-up of international reserves. In this regard, the BoZ will seek to continue to improve the operation of the foreign exchange market and encourage the development of hedging instruments. Steps being considered by the BoZ to further enhance stability in the market and primary dealerships and introducing the technological platform for real-time operation of the market.

D. Financial Sector Development

20. **While the banking sector remains generally healthy, banking supervision will continue to be vigilant.** Overall performance indicates that the system remains fundamentally sound. However, performance ratios relating to capital and earnings suffered in 2006 from increased non-performing assets, especially in agriculture as a result of the drought in 2004/2005 and the appreciation of the kwacha in late 2005 and early 2006. Performance so far in 2007 indicates a general improvement compared to end-December 2006. The BoZ is working to finalize risk management guidelines for banks and NBFIs, which would move supervision to a more pro-active framework. These guidelines are expected to come into effect in 2007.

21. **Progress has been made in the implementation of the Financial Sector Development Plan, which enters the second phase in 2007.** The agenda for 2007 includes completing a number of ongoing legislative and other reforms and embarking on some of the core reforms under the second phase of the program. Among these are the enactment of the Payments Systems Bill; the preparation of a law for credit reference bureau services—a follow up to the guidelines under which a credit reference service provider was licensed in

2006; and the finalization of a draft deposit protection law. The second FinScope survey on the supply-side of financial services will also be undertaken. The first, completed in 2006, was on the demand for financial services. These studies are expected to provide valuable input for the expansion of financial services to areas that currently are not being adequately met. As regards the resolution of Government-owned non-bank financial institutions, incorporation of the National Savings and Credit Bank and the Development Bank of Zambia under the Companies Act has been postponed until these institutions are on sounder footing. On the Zambia National Building Society, the BoZ is reviewing a revised strategic plan and will present a report to the Government before end-April 2007.

E. External Sector Outlook and Debt Management

22. **Medium-term prospects in the external sector will be affected by the projected decline in the price of copper.** Although a strong increase in copper export volumes arising from major investments in the sector will dampen the impact of falling copper prices, the deterioration in the terms of trade will result in higher current account deficits. By the end of 2009, official international reserves are envisaged to reach about 3 months of imports. This will help buffer against external shocks.

23. **Central Government foreign financing is expected to increase over the medium term.** Budget support is expected to increase by about US\$50 million to US\$178 million in 2007, while sector wide approach (SWAP) grants and project support (grants and loans) are projected to increase by about US\$70 million to about US\$492 million. Baseline projections are based on the assumption that total donor support to Zambia will reach US\$652 million and US\$702 million in 2008 and 2009, respectively.

24. **The Ministry of Finance and National Planning has prepared an Aid Policy and Strategy aimed at strengthening the efficiency of aid.** The paper has been circulated to the line ministries and will be submitted to Cabinet by end-June, so that implementation can begin later in the year. In line with this strategy, a foreign aid reporting and monitoring system will also be developed. As a first step, MoFNP will create an integrated database on external aid to ensure the reliability and comprehensiveness of the aid financing included in the budget.

25. **The Government will continue to pursue an open trade regime.** In line with the implementation of the SADC Trade Protocol, tariffs were further reduced in January 2007. The tariff phase down is scheduled to be completed by January 2008, when Zambia's imports from the region will be subject to zero tariff.

26. **The Government is committed to improving public debt management.** Following the sizeable improvement in Zambia's public debt indicators from the debt relief received under the Enhanced HIPC Initiative and the MDRI, public debt management will be further strengthened to ensure that a relapse into unsustainable public debt does not occur.

Reforms will continue to focus on implementing the recommendations provided by the World Bank in the 2004 Assessment Report. The following measures will be adopted:

- a comprehensive debt management strategy will be submitted to the Minister of Finance and National Planning by end-June 2007 (performance criterion);
- the public debt database will be improved further—the reconciliation of public external debt at end-2005 and end-2006 with Zambia’s creditors on a loan-by-loan basis will be completed by end-June 2007;
- the contracting of non-concessional debt will be avoided until the capacity to assess the implications for debt sustainability is developed; and
- an action plan to deal with the on-lending transactions will be developed.

27. **Efforts to obtain debt relief under the enhanced HIPC Initiative from remaining creditors have been stepped up.** Of the three official bilateral creditors that have not provided HIPC debt relief, two creditors (Brazil and Bulgaria) have recently been contacted and relief from Iraq will be sought shortly. The Government will also seek full relief from India and continue discussions with Russia to obtain full debt cancellation. In February 2007, China signed a Protocol partially cancelling Zambia’s Government debt due by end-2005.

F. Other Structural Reforms

28. **The Government is determined to create a more conducive environment for doing business in Zambia for both domestic and foreign investors.** In this regard, the newly established ZDA, which merged five agencies, will focus on streamlining licensing and other administrative procedures to create a one-stop shop for supporting investors in Zambia. At the same time, quality improvements in telecommunications, energy, and transportation infrastructure will be critical for increasing productivity and enhancing competitiveness. Given the role of public enterprises in the provision of infrastructure and other services, the highest standards for corporate governance and transparency will be instituted, including the timely payment of tax obligations and debt service owed to the Government, especially in companies undergoing a commercialization process, notably ZESCO and ZAMTEL.

G. Economic Statistics

29. **The Government will take steps to expand Zambia’s capacity to collect and disseminate economic data.** At present, there are shortcomings in the quality of some of the economic statistics. The Central Statistics Office will update and rebase the national accounts and associated price indices in 2007. In support of this work, the pilots for the economic census will be completed in June and the rebasing will be finalized by end-2007. Similarly,

the BoZ and MoFNP will allocate sufficient resources to produce and maintain quality balance of payments and government finance statistics.

III. PROGRAM MONITORING

30. The tenth disbursement (in the amount of SDR 5.5024 million) under the PRGF arrangement will be based on the observance of quantitative and structural performance criteria through end-June 2007 (Tables 1 and 2).

Table 1. Zambia: Quantitative Performance Criteria (PC) and Indicative Targets Under the PRGF Program¹
(Billions of kwacha, unless otherwise indicated)

	2006 Base	2006						2007		
		Jun			Dec			Base	Jun	Dec
		Prog	Act	Status	Prog	Act	Status			
Performance Criteria										
Ceiling on the cumulative increase in net domestic assets (NDA) of the Bank of Zambia ^{2, 4, 5}	2,911	-138	-274	Met	-241	-453	Met	-84	-357	-281
Adjusted ceiling		-161			-302					
Ceiling on the cumulative increase in net domestic financing (NDF) ²	3,917	439	643	Not met	706	945	Not met	4,674	339	743
Adjusted ceiling		416			645					
Floor on the cumulative increase in gross international reserves (GIR) of the Bank of Zambia (Millions of U.S. dollars) ^{2, 3}	342	58	51	Not met	153	224	Met	595	83	134
Adjusted floor		56			155					
Ceiling on new external payment arrears		0	0	Met	0	0	Met		0	0
Ceiling of short-term debt and on contracting or guaranteeing of nonconcessional debt (millions of U.S. dollars) ⁶		0	0	Met	0	0	Met		0	0
Floor on the cumulative payment of domestic arrears of the central government ⁷		89	116	Met	238	247	Met		118	339
Indicative Targets										
Central government wage bill		1,385	1,304	Met	2,967	2,833	Met		1676	3535
Ceiling on the cumulative arrears on the Central Government wage bill		0	0	Met	0	0	Met		0	0
Memorandum items:										
Cumulative net balance of payments support (millions of U.S. dollars)		3.6	10.1		42.9	60.2			109.7	134.9
Balance of payments assistance		49.3	43.4		125.6	125.1			128.6	178.3
Central Government debt service obligations (excl. IMF)		-45.8	-33.3		-82.7	-65.0			-19.0	-43.4
Shortfall (-)/Excess (+) net BOP support			6.5			17.3				
Less shortfall in IMF disbursements						15.8				
Program exchange rates										
Kwacha/US\$	3,509							4,406.7		
US\$/SDR	1.429							1.485		

¹ The definitions of the items in the quantitative program are contained in the Technical Memorandum of Understanding (TMU).

² Adjusted for balance of payments support less debt service payments.

³ The base for 2006 GIR corresponds to end-January 2006 stock; that for 2007 corresponds to end-December 2006 stock.

⁴ Excludes HIPC debt relief from the IMF.

⁵ The ceiling will be adjusted for changes in the legal reserve requirements.

⁶ Nonconcessional loans are those having a grant element of less than 40 percent.

⁷ This includes K100 billion for the payment of arrears to the Public Service Pension Fund in 2006 and K112 billion in 2007.

Table 2. Zambia: Structural Program for 2006 and 2007

Measure	Timing	Status
Performance Criteria		
The government will refrain from paying any amounts for which it is not legally liable and which are not included in the budget.	Continuous	Observed in 2006
Validate end-quarter external debt stock data and, within 45 days, provide updated 3-year schedule of debt service falling due to the Budget Director.	Continuous	Observed in 2006
The Investment and Debt Management Department (IDM) of the Ministry of Finance and National Planning (MoFNP) will verify the stock of onlending agreements with a view to effectively enforcing them. The IDM will report to the Secretary to the Treasury on validation of these agreements.	End-June 2006	Observed
Pilot an integrated financial management and information system (IFMIS) in at least three line ministries.	End-September 2006	Not observed Contract was signed in November 2006 and the piloting began in January 2007. The number of pilot sites has been expanded to eight.
Complete a diagnostic review of tax policy and administration.	End- December 2006	Observed
The IDM will verify the stock of government contingent liabilities, including loan guarantees, and pension obligations. The IDM will report to the Secretary to the Treasury on their validation.	End- December 2006	Observed
Report on the findings of a preliminary review of the piloting of the IFMIS in at least three line ministries.	End-March 2007	Not observed The review has been postponed since the new pilot will cover eight sites and take 18 months to complete.
Submit to the Minister of Finance a comprehensive debt management strategy	End-June 2007	
Benchmarks		
Unbudgeted expenditure requirements will be funded only to the limits of the contingency resources indicated in the budget or only after the cabinet has approved any changes by finding compensatory funding within the approved budget resources.	Continuous	Observed in 2006
Quarterly budget execution reports using the activity-based budgeting (ABB) classification will be published within 45 days of the end of each quarter, including summary tables developed in consultation with the PEMFA JTWG.	Continuous	Not observed ABB classification was used for the 2006:Q4 report. However, summary tables have yet to be published.
The Accountant General will, within 60 days of the end of each quarter, submit to the Secretary to the Treasury quarterly reports on compliance with the commitment control system by ministry, province, and spending agency.	Continuous Beginning September 2006	Not observed Format has been finalized and a draft report for 2006:Q4 produced but a final report has yet to be submitted to the Secretary to the Treasurer.

Table 2. Zambia: Structural Program for 2006 and 2007 (concluded)

Measure	Timing	Status
Issue new regulations and revised accounting manuals for the new Finance Act.	End-March 2006	Not observed The regulations were finalized and distributed by end-December 2006. The accounting manuals will be published by the end of June 2007.
Issue summary tables, developed in consultation with the PEMFA Joint Technical Working Group (JTWG), using activities based on budgeting classification and identifying poverty reducing programs.	End-March 2006	Observed with delay
In consultation with the PEMFA JTWG, issue (i) accountability rules and procedures under the new cash management framework and (ii) corresponding administrative procedures for enforcement, to ensure the timely release of funds by the MoFNP.	End-March 2006	Observed with delay
The MoFNP will issue an annual report on external debt management during 2005.	End-June 2006	Observed
Execute the action plan adopted by the Government on the resolution of the Zambia National Building Society (ZNBS).	End-June 2006	Not observed Budgeted resources were not sufficient. Resources are being provided in the 2007 budget.
Submit to Cabinet a proposal for laws establishing a credit reference bureau, including necessary amendments to privacy laws.	End-June 2006	Observed
ZESCO's management will provide all the financial, technical, and managerial information the World Bank and the IMF need to assess ZESCO's performance in line with the conditions for reaching the evaluation point under the commercialization process.	End-July 2006	Observed with delay
Submit to cabinet the first draft ("Green Paper") of the Medium-Term Expenditure Framework (MTEF) for 2007-2009.	End-August 2006	Observed
Incorporate the NSCB and DBZ under the Companies Act.	End- December 2006	Not observed Postponed until the finances of the institutions are sounder.

ATTACHMENT 2

Technical Memorandum of Understanding for the Poverty Reduction and Growth Facility (PRGF) Arrangement

I. INTRODUCTION

This memorandum sets out the understandings between the Zambian authorities and the International Monetary Fund (IMF) regarding the definitions of the quantitative and structural performance criteria and benchmarks for the remainder of the program supported by the PRGF arrangement, as well as the related reporting requirements.

II. QUANTITATIVE PERFORMANCE CRITERIA AND BENCHMARKS: DEFINITIONS AND DATA SOURCES

A. Net Domestic Assets (NDA) of the Bank of Zambia (BoZ)

1. Net domestic assets (NDA) of the BoZ are defined as the monthly average (based on daily data) of reserve money less net foreign assets of the BoZ calculated at kwacha 3,509.0 per U.S. dollar for 2006 and 4,406.7 per U.S. dollar for 2007.¹ Reserve money consists of currency issued, required reserves on kwacha deposits, required reserves on foreign currency deposits (at the program exchange rate), positive current account balances of banks with the BoZ, and deposits in the BoZ of non-central government institutions. Net foreign assets of the BoZ are defined as gross international reserves (defined below) plus any other foreign assets, including the US\$25 million blocked reserves at the former Meridien Bank (MBZ), minus foreign reserve liabilities (defined below). The kwacha values are derived from the U.S. dollar values using the program exchange rate.

2. Foreign reserve liabilities are defined as short term (one year or less in original maturity) foreign currency-denominated liabilities of the BoZ to nonresidents and outstanding use of IMF credit.

3. The ceilings on NDA will be adjusted upward by the amount of the shortfall of balance of payments support net of debt service as indicated in Table 1 of the Memorandum of Economic and Financial Policies (MEFP), up to a maximum of US\$35 million for the

¹ Unless otherwise defined, program exchange rates for 2006 and 2007 between the U.S. dollar and other (non-kwacha) currencies will be equal to the end-December 2005 and end-December 2006 rates, respectively. The U.S. dollar/SDR rate for program purposes is 1.4293 for 2006 and 1.485 for 2007. Any other assets (e.g., gold) would be revalued at their end-December 2005 market prices for 2006 and end-December 2006 for 2007.

period end-December 2006 to end-June 2007. External disbursements that occur anytime during the month of the test date will be treated as if they were disbursed on the first day of the month.² In the event of excess balance of payments support net of debt service, the ceiling on NDA will be adjusted downward by 100 percent of the additional excess support. The kwacha value of the cumulative shortfall/excess will be calculated at the program exchange rate.

4. The ceiling on NDA will be adjusted downward/upward to reflect decreases/increases in the legal reserve requirements on deposits in commercial banks. The adjustor will be calculated as the percent change in the reserve requirement multiplied by the actual amount of required reserves (kwacha and foreign-currency denominated) at the end of the previous calendar month.

B. Net Domestic Financing (NDF)

5. **Net domestic financing (NDF) is defined as the Central Government's net borrowing from the banking and non-banking sectors (See Table 1).³ All government-issued securities will be recorded at cost (face value less discount). NDF will be defined as:**

- (a) the net position of the Government with commercial banks, including: (i) Treasury bills; (ii) government bonds; (iii) loans and advances; less (iv) support to MBZ; and (v) central government deposits (defined to include account balances under the authority of controlling officers); plus
- (b) BoZ holdings of: (i) Treasury bills; (ii) government bonds; (iii) the kwacha bridge loan (overdraft facility); less (iv) the government's position at the BoZ; and (v) the donor suspense account; plus (vi) the outstanding amount of the long-term non-transferable security issued against the government's indebtedness to BoZ as at end-2002; plus
- (c) Nonbank holdings will include: Treasury bills; and government bonds.

6. The NDF ceiling will be adjusted upward by the amount of the shortfall in balance of payments support net of debt service as indicated in Table 1 of the MEFP, up to a maximum of US\$35 million for the period end-December 2006 to end-June 2007. In the event of excess balance of payments support net of debt service, the ceiling on NDF will be

² This implies that, for purposes of monitoring the NDA, the targeted NDA will be increased by the amount of the disbursement divided by the number of business days in the month and multiplied by the number of business days from the beginning of the month to the day prior to the disbursement.

³ The Central Government includes all the administrations identified by the budget heads listed in the Yellow Book for 2006 and 2007, respectively.

adjusted downward by 100 percent of the additional excess support. The kwacha value of the cumulative shortfall/excess will be converted at the program exchange rate.

7. The data source for the above will be the “Net Domestic Financing” table produced by the BoZ Economics Department, submitted on a weekly basis, and reconciled with the monthly monetary survey.

C. Gross International Reserves of the BoZ

8. Unless otherwise noted here, gross international reserves of the BoZ will be defined as reserve assets of the BoZ (See Table 2). Reserve assets are defined in the IMF BOP manual (5th edition) and elaborated in the reserve template of the IMF’s special data dissemination standards (SDDS). They exclude, for example, foreign assets not readily available to or controlled by the monetary authorities, and foreign currency claims on Zambian residents.

9. Gross international reserves consist of (i) monetary gold; (ii) foreign currency in cash; (iii) unencumbered foreign-currency deposits at non-resident banks; (iv) foreign securities and deposits; (v) SDR holdings and Zambia’s reserve position with the IMF; and (vi) balances in the BIS account related to debt service to Paris Club creditors. Gross reserves exclude non-convertible currencies, pledged, swapped, or any encumbered reserve assets including but not limited to reserve assets used as collateral or guarantees for third-party external liabilities, commercial bank reserve requirements in foreign currency, and the US\$25 million deposit in MBZ (in liquidation).

10. The floor on gross international reserves will be adjusted: (i) downward by the amount in U.S. dollars of the shortfall in balance of payments support net of debt service as indicated in Table 1 of the MEF, up to a maximum of US\$35 million for the period end-December 2006 to end-June 2007; (ii) upward by 100 percent of the cumulative excess balance of payments support net of debt service; (iii) downward/upward for any shortfall/excess in the U.S. dollar value of programmed disbursements from the IMF under the PRGF arrangement; (iv) downward for any increase in BoZ short-term foreign currency denominated debt (to residents and nonresidents), using the definition of short-term debt below.

11. For the purpose of this target, as well as those for external debt and arrears, valuation will be in U.S. dollars using the program exchange rates.

12. Data on gross international reserves, including its components, will be reported by the BoZ on a weekly and end-month basis.

D. External Payment Arrears

13. The performance criterion on the non-accumulation of new external payment arrears is continuous. Official external payment arrears are defined as unpaid debt service by the Central Government and BoZ, beyond the due date and/or the grace period, if any. This definition excludes arrears subject to rescheduling.
14. Data on arrears are compiled jointly by the Ministry of Finance and National Planning (MoFNP) and BoZ and will be reported by the MoFNP on a quarterly basis.

E. Official Medium- and Long-Term Concessional External Debt

15. Official medium- and long-term concessional external debt is defined as all forms of official debt with original maturity of more than one year contracted or guaranteed by the Central Government and BoZ having a grant element of no less than 40 percent, but excludes debts subject to rescheduling. The grant element is to be calculated by using currency-specific commercial interest reference rates (CIRRs) reported by the DAC of the OECD; for maturities of less than 15 years, the grant element will be calculated based on six-month averages of CIRRs, and for maturities longer than 15 years, the grant element will be calculated based on 10-year averages. The use of IMF resources will be excluded from this performance criterion.
16. This minimum grant element applies not only to debt as defined in Point 9 of the Guidelines on Performance Criteria with Respect to Foreign Debt (Decision No. 12274-(00/85) of August 24, 2000; see Annex), but also to commitments contracted or guaranteed for which value has not been received. This performance criterion excludes non-concessional loans stemming from the rescheduling of external arrears.
17. Detailed data on all new concessional and non-concessional debt contracted or guaranteed will be provided by the MoFNP on a monthly basis.

F. Official External Short-Term Non-Concessional External Debt

18. Official external short-term non-concessional external debt is defined as the outstanding stock of external debt with original maturity of less than one year owed or guaranteed by the central Government or the BoZ. For this purpose short-term debt will include forward commodity sales but will exclude normal trade credit for imports. No new nonconcessional official external short-term debt will be contracted or disbursed during the program period. The term “debt” has the meaning set forth in point No. 9 of the Guidelines on Performance Criteria with Respect to Foreign Debt (Decision No. 12274-(00/85) of August 24, 2000; see Annex).
19. The data will be reported by the MoFNP and BoZ on a monthly basis.

G. Domestic Payment Arrears of Central Government

20. Domestic payment arrears are defined as: (i) any bill that has been received by a spending ministry from a supplier for goods and services delivered (and verified) and for which payment has not been made within 30 days after the due date of payments; (ii) wage, salary and any other payment to government employees, including pension contributions and all forms of housing allowances, that were due to be paid in a given month but remained unpaid on the 15th of the following month; and (iii) interest or principal obligations which remain unpaid 30 days after the due date of payment. Included in the quarterly program floors for payment of domestic payment arrears in 2006 is payment of K 25 billion each quarter and K 26 billion in the first two quarters of 2007 toward Government's arrears on contributions to the Public Sector Pension Fund.

21. Information regarding domestic arrears is to be compiled through audits of the accounts of spending Ministries and agencies, conducted by the Internal Audit division of the MoFNP. The audits will be completed and data submitted to IMF staff by the Secretary of the Treasury within six weeks of the end of each quarter.

H. The Central Government's Wage Bill

22. For the purposes of the wage bill, the definition of Central Government includes all expenditure heads covered in the Yellow Book for 2006 and 2007 respectively. The Central Government's total wage bill will include payments on wages, salaries, allowances, and all other items specified as personal emoluments in the Yellow Book, and any direct or indirect payments of housing allowances to employees. The Government will provide, on a monthly basis and by budget head, the following data: (i) the number of all employees in the Central Government for each budget head; (ii) the basic salary, the allowances and any other personal emoluments released during the month; (iii) the arrears incurred during the month on the basic salary, on the allowances, and on any other personal emoluments; (iv) the number of employees retrenched and the corresponding retrenchment costs.

23. All the data will be submitted to the IMF staff by the MoFNP within three weeks of the end of each month.

III. STRUCTURAL PERFORMANCE CRITERIA

24. The Debt Strategy Working Group, which include high level officials from MoFNP and BoZ, will submit a draft debt management strategy to the Minister of Finance by June 2007, including the following:

- ***Assessment of existing debt:*** assessment of stock of public and publicly guaranteed debt as of end-2005 (composition by creditor, by maturity, and by currency) and description of main risks (interest, currency, and refinancing).

- ***Description of debt management practices during 2006:*** objectives pursued, description of decision process, procedures and regulations for borrowing externally as well as domestically and granting of guarantees; and identification of debt management constraints, particularly on portfolio choice (including market development, lack of access to preferred source of funds, and implementation of monetary policy), and weaknesses.
- ***Identification of options for 2007 and changes envisaged with respect to previous year:*** specify procedures and regulations that need to be changed; ways to address weaknesses; explicitly assign responsibilities for directly contracting public debt, guaranteeing public debt, and reporting. Describe the environment for debt management in 2007, including main macroeconomic assumptions used in 2007 budget (i.e.; GDP, interest rates, exchange rates) and 2007 fiscal projections. Determine the composition (external vs. domestic debt), maturity (short- vs. medium-term debt), concessionality, and currency (foreign vs. local) of envisaged 2007 financing operations.
- ***Formulate interim debt management strategy to be applied through 2008:*** Set out objectives, scope of the interim strategy, role of the institutions involved, ability to borrow and accountability, procedures, and principles that should be taken into account when developing Zambia's medium-term debt management strategy. The strategy should also identify how to ensure high quality debt data and ways to strengthen risk management capacity. In addition, the Working Group should establish a timetable for developing and implementing Zambia's comprehensive medium-term debt management strategy.

ANNEX

Guidelines on Performance Criteria with Respect to Foreign Debt

Excerpt from Executive Board Decision No. 6230-(79/140), as revised on August 24, 2000

(a) For the purpose of this guideline, the term “debt” will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows:

(i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers’ credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);

(ii) suppliers’ credits, i.e., contracts where the supplier permits the obligor to defer payments until some time after the date on which the goods are delivered or services are provided; and

iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the retains the title to the property. For the purpose of the guideline, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair or maintenance of the property.

(b) Under the definition of debt set out in point 9 (a) above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.

TMU Table 1. Zambia: Net Domestic Financing

	2006		2007
	End-Dec.	End-Dec. Program Base	
Total domestic financing (program)			
Adjustment			
Adjusted program financing			
Excess/shortfall (- = excess)			
Total domestic financing			
Bank financing			
Commercial banks			
Treasury bills ¹			
Bonds ¹			
Loans and advances			
less: Support to MBZ			
less: Deposits			
Bank of Zambia			
Treasury bills ¹			
Bonds ¹			
Kwacha bridging loan			
GRZ position			
Donor suspense balance			
GRZ long-term security IFO BoZ			
Other			
Nonbank financing			
Treasury bills ¹			
Bonds ¹			

Source: BoZ net domestic financing table.

¹ Measured at cost (face value less discount).

TMU Table 2. Zambia: Gross International Reserves ¹

(In millions of U.S. dollars)									
	2006			2007					
	December			March, June, September, December					
	12/31/2006 = Base			Current			31/12/07		
	Exch rate			Exch rate			Exch rate		
	Amount	or price	U.S. dollars	Amount	or price	U.S. dollars	Amount	or price	U.S. dollars
Official reserve assets ²									
Foreign Currency Reserves									
Securities									
In U.S. dollars									
In U.K. pounds									
In Euro									
Other currencies									
Deposits ³									
In U.S. dollars									
In U.K. pounds									
In Euro									
In South African Rand									
Other currencies									
IMF reserve position									
SDR (excludes IMF interim assistance under the HIPC Initiative)									
Monetary gold									
Other reserve assets									
Memo: Other foreign currency assets ⁴									
Predetermined short-term net drains ⁵									
Liabilities to IMF									
Other foreign currency loans and securities									
In U.S. dollars									
In U.K. pounds									
In other currencies									
Aggregate short and long positions in forwards, futures and swaps									
Other									
Contingent short-term net drains									
Contingent liabilities									
Securities with embedded options									
Undrawn, unconditional credit lines									
Aggregate short & long term positions of options									
Memorandum items:									
Short-term domestic currency debt indexed to the exchange rate									
Financial instruments denominated in foreign currency settled by other means									
Pledged assets									
of which: Balance of IMF interim HIPC assistance									
Securities lent and on repo									
Financial derivatives (net, marked to market)									
Derivatives w/ residual maturity > 1 year, subject to margin calls									

¹ As defined in the TMU or IMF. "Data Template on Int'l Reserves and Foreign Currency Liquidity: Operational Guidelines."

² Corresponds to gross international reserves for program monitoring.

³ Excludes deposits at resident banks, unless assets held abroad by the bank are explicitly connected to the foreign exchange deposits of the BoZ and are totally and effectively controlled by BoZ and are available for balance of payment needs.

⁴ Includes foreign currency deposits at resident banks.

⁵ The program target for gross international reserves will be adjusted as described in the TMU.